

Do you remember anything specific about his talk that had an influence?

I remember his confidence, his charisma, and that I liked him, but that is about it. I loved the fact that he was a University of Virginia graduate.

How did you originally develop your trading system?

After I graduated from the University of Virginia, I didn't have my own computer, so I used the computers at the engineering school. The computer lab was this huge room with extremely high ceilings—I don't know what it had been used for before—filled with over 100 computers. I started looking at trend-following models, which was kind of interesting, but I thought there were already lots of successful trend followers out there, and I didn't want to compete with them. I wanted to do something different.

Just from our conversation so far, it is clear to me that there was another reason why you wouldn't have pursued a trend-following approach. It would have been totally out of character for you. A trading approach that, by definition, requires staying with the herd would have been exactly opposite your natural instincts. Even if it worked, you would have had trouble following it.

That's true. My contrarian nature was opposed to doing what other people were doing. I also believed that if everyone thought trend following worked, it would start to work less well. I was never going to be a trend follower. That was clear. Mean reversion was more interesting. But I didn't like mean reversion either.

Why didn't you like mean reversion?

Because I found something that worked much better. *Right then. Right in that computer lab.* [Woodruff speaks these words very emphatically, conveying this was a pivotal moment in his life.]

What did you find?

I had the realization that I could build a whole third class of models that were trend neutral on average—that is, trading models that were neither trend following nor countertrend. I built a couple of these models and did